

I would sell it at 75 on the way down rather than at 80 because I might be giving up much more on the upside than the difference in selling it a little bit lower.

Four months later, after listening to all the tapes of our interview, I felt that a number of important questions had either been unasked or answered unsatisfactorily. I conducted a follow-up interview by phone. By the time of this call (July 29, 2011), Vidich had switched from bullish to bearish. In the week immediately following this call, equities plunged, experiencing their largest single-week decline since the 2008 market meltdown.

When I interviewed you a few months ago, you were quite bullish. Now, you are bearish. What changed?

Part of it was the recent resolution of the debt-ceiling impasse, in which the entire reduction of future deficits was based on spending cutbacks without any increase in revenues.¹ Spending cutbacks, which primarily impact lower- and middle-class consumers, will have a much greater drag on the economy than increases in revenues for higher income earners. The Tea Party has also put Obama in a corner in clearly making it impossible for him to implement any further stimulus if the economy needs it.

What else turned you bearish?

We are seeing an increasing number of companies whose operating margins are beginning to contract as their input costs increase, and those costs can't be passed on to the consumer.

Anything else?

When you listen to numerous conference calls in which the executives are worried about the current economic environment, that sentiment translates into a real impact on business.

So the way you interpret sentiment, negative sentiment is bearish rather than bullish.

There is a big difference between informed sentiment, like CEOs, and investor sentiment. Investor sentiment, however, is usually wrong, at least over the longer term.